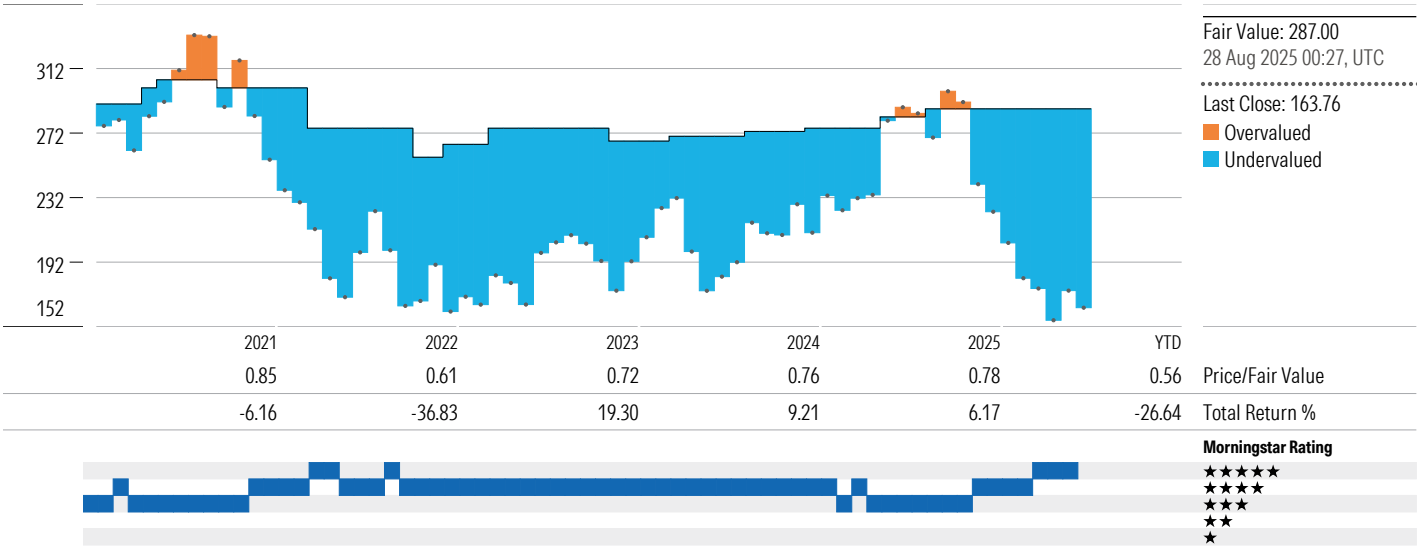
Veeva Systems Inc Class A VEEV ★★★★★ 11 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
163.76 USD 10 Jun 2026	287.00 USD 28 Aug 2025 05:27, UTC	0.57	26.24 USD Bil 11 Jun 2026	Wide	Mid Blend	High	Exemplary

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	0.85	0.61	0.72	0.76	0.78	0.56	Price/Fair Value
	-6.16	-36.83	19.30	9.21	6.17	-26.64	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 28 Aug 2025 00:27, UTC.

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The primary analyst covering this company does not own its stock.

'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Veeva Earnings: Negative Reaction Despite Solid Results and Growing AI Investments Shows Disconnect

Analyst Note Keonhee Kim, Equity Analyst, 4 Jun 2026

Veeva delivered 16% and 13% revenue and adjusted EPS growth, respectively, during first-quarter fiscal 2027. Both figures landed ahead of guidance. Full-year guidance for revenue and EPS was raised by a low single digit. Shares were down 5% afterhours.

Why it matters: Amid uncertainty in the software space, Veeva continues to win new customers for its key products. Despite a solid start to the year and improved outlook, shares are moving in the opposite direction, and we see this as a continuation of investor fears over AI disruption in the software sector.

- AI within Veeva is evolving, but it's still early days. Vault and Falcon, new AI tools announced in the last six months, aim to improve use cases across commercial and R&D platforms. Veeva also acquired Ostro, an AI-based chat tool for pharma firms, during the quarter for $100 million, its first acquisition in the last four years.
- We think the combination of industry-specific platforms and agents, on top of business consulting and professional services capabilities, makes Veeva's offering difficult for AI to replicate, underpinning our wide moat rating for Veeva.

The bottom line: We keep our $287 fair value estimate for Veeva. In our view, the fear-driven selloff is disconnected from Veeva's fundamentals. The downward trend of shares at the beginning of the year flipped during the past month, but shares still look undervalued with meaningful upside over the long

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Sector	Industry
Healthcare	Health Information Services

Business Description

Veeva is the global leading supplier of cloud-based software solutions for the life sciences industry. The company's best-of-breed offerings address operating and regulatory requirements for customers ranging from small, emerging biotechnology companies to departments of global pharmaceutical manufacturers. The company leverages its domain expertise to improve the efficiency and compliance of the underserved life sciences industry, displacing large, highly customized and dated enterprise resource planning systems that have limited flexibility. Its two main products are Veeva CRM, a customer relationship management platform for companies with a salesforce, and Veeva Vault, a content management platform that tackles various functions within any life sciences company.

term. Our fiscal 2027 estimates include 14% revenue and 12% EPS growth.

- We appreciate Veeva's growing efforts to integrate AI across its suite of applications, especially when certain large pharma firms are migrating to competitors' products. Though we concede that Veeva's AI strategy and future financial upside from AI investments remain somewhat ambiguous currently, we still believe in Veeva's insulation from broad-based AI competition.

Correction (June 4, 2026): An earlier version referred to fiscal 2026. This has been amended to fiscal 2027.

Business Strategy & Outlook Keonhee Kim, Equity Analyst, 23 Mar 2026

Veeva is the leading provider of cloud-based software solutions tailored to the life sciences industry. It provides an ecosystem of products to address the operating challenges and regulatory requirements that companies in the space face. Instead of focusing on a general, one-size-fits-all system, Veeva has created platforms that are purely designed to serve one industry. And this vertical focus has allowed the company to shape its products for its specific customers to fit their specific needs. Veeva is deeply penetrated in its addressable market, and its continued expanding portfolio of applications presents itself as one of the most attractive offerings in the space.

Veeva operates in two categories: commercial and research and development. Commercial solutions entail vertically integrated customer relationship management, or CRM, services and end-market data and analytics solutions mainly through its CRM and add-ons. Vault CRM is Veeva's cloud-based customer relationship management platform that markets to pharmaceutical and biotech companies with commercial needs. CRM was originally built on the Salesforce 1 platform, but Veeva announced in late 2022 that it will migrate the product to its own Vault platform. Customer migration began in 2024 and existing users can use CRM on Salesforce's platform until 2030. At the end of 2025, 10 of top 20 biopharmas have committed to Vault CRM, and we expect roughly four more wins to come over the next few quarters. We believe the Vault platform is well-developed to easily handle both CRM and R&D applications, and this move away from Salesforce gives the firm the independence to run all its offerings.

R&D solutions horizontally integrates data and content through Veeva Vault. Veeva Vault is Veeva's content management system that is built on the company's own platform and it is industry's first tool that offers all applications in a unified and integrated server. It is a suite of applications that aims to help across specific functions (commercial, clinical, regulatory, quality and manufacturing, and safety) within any company that is developing drugs or suppliers to those who are developing drugs.

Bulls Say Keonhee Kim, Equity Analyst, 23 Mar 2026

- Veeva continues to introduce new applications in areas such as safety and clinical operations to service unmet needs, which support our double-digit growth assumptions.

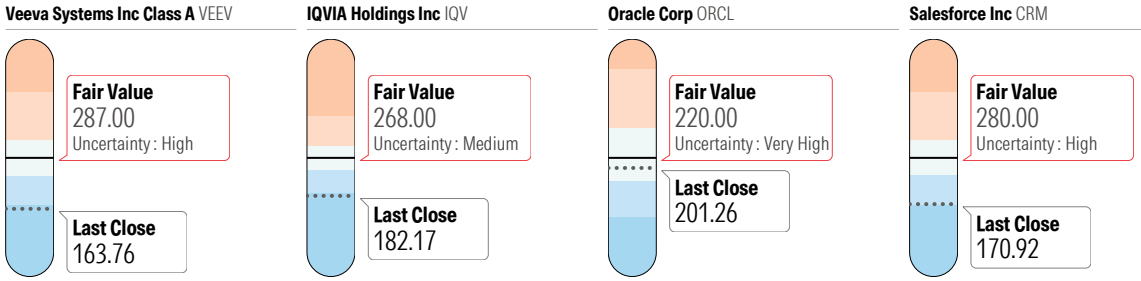
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Competitors



	Veeva Systems Inc Class A VEEV	IQVIA Holdings Inc IQV	Oracle Corp ORCL	Salesforce Inc CRM
Economic Moat	Wide	Narrow	Narrow	Narrow
Currency	USD	USD	USD	USD
Fair Value	287.00 10 Jun 2026 17:58, UTC	268.00 10 Jun 2026 17:44, UTC	220.00 9 Jun 2026 16:27, UTC	280.00 11 Jun 2026 16:35, UTC
1-Star Price	444.85	361.80	385.00	434.00
5-Star Price	172.20	187.60	110.00	168.00
Assessment	Undervalued 11 Jun 2026	Undervalued 11 Jun 2026	Fairly Valued 9 Jun 2026	Undervalued 11 Jun 2026
Morningstar Rating	★★★★★11 Jun 2026 21:21, UTC	★★★★★10 Jun 2026 05:00, UTC	★★★9 Jun 2026 05:00, UTC	★★★★11 Jun 2026 05:00, UTC
Analyst	Keonhee Kim, Equity Analyst	Rachel Elfman, Equity Analyst	Luke Yang, Equity Analyst	Dan Romanoff, Senior Equity Analyst
Capital Allocation	Exemplary	Standard	Standard	Standard
Price/Fair Value	0.57	0.68	0.94	0.59
Price/Sales	8.24	1.88	8.71	3.72
Price/Book	3.65	4.89	15.42	4.09
Price/Earning	29.04	22.60	34.52	19.78
Dividend Yield	0.00%	0.00%	0.99%	0.99%
Market Cap	26.24 Bil	30.22 Bil	529.48 Bil	136.32 Bil
52-Week Range	148.05—310.50	153.01—247.05	134.57—345.72	163.31—276.80
Investment Style	Mid Blend	Mid Blend	Large Blend	Large Value

- ▶ Investing in its AI capabilities allows Veeva to provide additional services, deploy advanced technologies, and bolster switching costs.
- ▶ Venturing outside of life sciences and into new segments expands Veeva's end markets and opens up new opportunities.

Bears Say Keonhee Kim, Equity Analyst, 23 Mar 2026

- ▶ Moving its CRM from Salesforce's platform to its Vault Platform could raise concerns for customers and lower its retention rate.
- ▶ The Iqvia/Salesforce partnership to introduce its own version of life sciences CRM could take away potential new customers from Veeva.
- ▶ New modules or add-ons could show low penetration rate and win less customers compared with previously launched products.

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Economic Moat Keonhee Kim, Equity Analyst, 23 Mar 2026

We assign Veeva a wide moat rating because we believe the firm's high retention rate and its customers' unlikeliness to move to a different product (switching costs) should continue to support economic profits for at least the next 20 years. Veeva is the leading provider of cloud-based software solutions specific to the life sciences industry. Instead of focusing on a general, one-size-fits-all system, Veeva has created a platform that is purely designed to serve one industry. With over 15 years of experience, Veeva has amassed industry-specific knowledge that it utilizes to tailor its products for specific customers. Veeva is well penetrated in its addressable market, and its continued expanding portfolio of applications presents itself as one of the most attractive offerings in the space.

We assign Veeva's commercial solutions a wide moat based on customer switching costs. Veeva CRM is Veeva's cloud-based customer relationship management platform. It markets to pharmaceutical and biotech companies that have already underwent drug development processes and have a salesforce for their products. Prior to Veeva, life sciences companies with commercial needs relied on either generic one-size-fits-all cloud offerings or client- or server-specific systems. Generic CRMs didn't have the capabilities to react quickly to business and regulatory changes, and aging client- or server-specific systems were slow to update since any new application that launched had to be compatible with each individual server. This made upkeep costly and time-consuming. Veeva CRM solves these issues by offering a cloud-based server that is specifically tailored to life sciences industry. Since its core CRM and all of its add-ons run on salesforce.com, updates to old applications or new product launches can go live to all of its clients swiftly. Customers are able to always run the latest version while avoiding high upfront costs, lengthy installations, and painful upgrade cycles.

As a first mover in a niche space, Veeva faces little competition, and has already established itself as the global standard for life sciences CRM. Also, since Veeva is vertically focused in one specific industry, its depth of knowledge and experience in the space is very difficult to replicate for any generic CRM provider. This is supported by the lion's share of the CRM market that Veeva has attained over the years. In 2013, about a third of the global pharmaceutical sales representatives were using Veeva CRM, but that number has increased to over 80% today. And Veeva has been successful at increasing market share on this front quarter over quarter, every single quarter consistently.

Once users are fully acclimated to Veeva's CRM and the system is fully integrated into a company's operating activities, the direct time and expense of switching to a competing software solution is high and comes with substantial operating risks. The downside risk of switching is expansive and could result in loss of data in the migration process, temporary disruption to sales activities, or even ultimately delay product launches. This is especially damaging for life sciences industry where time to market is more important than other industries because it is very time-intensive to develop drugs and patent duration is limited.

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Furthermore, users get stickier and switching costs rise as more add-ons are purchased. Beyond the core CRM, Veeva offers many complementary applications to existing customers, growing value per contract while keeping customer acquisition costs manageable. In aggregate, average add-on penetration rate was less than 10% in 2015 but this figure has grown to 50-60% currently. So Veeva has been very successful at initially winning over customers with its core CRM offerings, then upgrading them to multichannel users with its suite of applications. Thus, the increased adoption of complementary Veeva products, some of which house critical drug data, creates even stickier customer relationships. As a firm's salesforce becomes accustomed to using Veeva's software, switching costs rise, especially given the centrality of the platform to a firm's sales and marketing efforts.

We assign Veeva's R&D solutions a wide moat based on customer switching costs. Started in 2011, Veeva Vault is Veeva's content management system that is built on the company's own platform. It tackles five specific functions within a life sciences company: commercial, clinical trials, quality and manufacturing, regulatory, and pharmacovigilance (safety). And within each functional area, Veeva offers a suite of applications that helps its customers to be more efficient. Since Vault is a unified system, every application is fully integrated into the main platform and transitioning from one channel to another is seamless. No one in the industry has previously offered all of the applications that Vault offers on a unified platform, so Veeva was able to enter the market and penetrate it without much competition. Since its launch, Vault has seen impressive growth in the number of customers year over year.

Similar to Veeva CRM, Vault has also been able to catch on with its users effectively and turn them from single-application users to multichannel users. Since Vault spans multiple functions within a life sciences company, there are many different end markets that Veeva can enter. Within Vault's suite of applications, some products are complementary and others are designed to solve issues in different silos. We see Vault users purchasing more applications within the platform as they spend more time with Veeva. This carries nicely over to Veeva's top line since as the number of years that customers have been using Vault increases, so does the annualized Vault subscription revenue.

Overall, Veeva has become the leading global standard in cloud-service offerings for the life sciences industry. Fifteen years after its founding, Veeva already dominates the CRM space and is deeply penetrated in top companies. In 2014, Veeva CRM and Vault commercial were being used by four of the top 50 companies in the industry Veeva serves. By 2018, that number increased to 19 out of the top 20 companies, and we assume a majority of the top 50 companies are using the two platforms. Vault clinical, which only started in the early 2010s, had four out of the top 20 companies in 2015 but that number doubled only three years later. And Veeva not just dominates the top players but it dominates the entire industry. That encompasses major pharmaceutical, biotech, and medical companies as well as emerging growth companies. In a study that ranks how much money life sciences companies spend

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on cloud software vendors, Veeva broke into the top 10 spot in 2012. Just five years later, Veeva ranked number one on the list. This wouldn't't have been possible if Veeva solely focused on its core CRM product and its add-ons. Veeva's continued investments into other areas within the organization and product launches with success have helped materialize this win for the company. This shows the tremendous growth trajectory that Veeva has been able to maintain. And this level of brand reputation and trust within the industry could not have been achieved without a consistent track record of success and history of delivering market-leading innovation.

Fair Value and Profit Drivers Keonhee Kim, Equity Analyst, 23 Mar 2026

We maintain our $287 fair value estimate for wide-moat Veeva. We expect a 12.5% revenue growth and a 10% adjusted EPS growth for fiscal 2027. Both figures are in line with guidance.

Veeva continues to win new customers in its CRM or Vault commercial solutions and further penetrates its existing userbase, shown by the consistently increasing number of average commercial products per user. We expect the commercial business to grow at a modest to high single-digit rate over the next five years. For R&D solutions, we expect revenue growth to soften but we still expect a very strong growth over the next five years with a double-digit revenue CAGR. This business targets any life sciences companies that are developing drugs or supplying to those that are developing drugs, so the impact of rep reduction is not felt as much compared with commercial solutions. Also, as Veeva covers more functions within life sciences and enters different verticals, we expect the company to enjoy strong growth.

We do not expect material competition or churn as Veeva's customer penetration should continue to deepen into mission-critical operations as customers subscribe to an increasing number of add-on modules. We anticipate non-GAAP operating margins to expand as the company improves scale and a richer mix of CRM add-ons and higher-margin R&D revenue.

Risk and Uncertainty Keonhee Kim, Equity Analyst, 23 Mar 2026

We maintain Veeva's High Uncertainty Rating, which largely reflects our quantitative analysis of the firm based on the return ranges used by our star rating system and somewhat concerns around a difficult macroenvironment. Veeva's CRM makes up about 20% of the total revenue, and many new customer wins come from small and medium-sized biotechnology firms since the majority of top 50 pharma companies have already adopted the solution. While a slowdown in customer wins in recent years compared with historical levels could look threatening, we are not concerned since we believe a bulk of future growth will come from Veeva's R&D solutions.

Another potential risk that Veeva faces in the near to medium term is its ability to fully migrate over its customer base from CRM built on the Salesforce platform to Vault CRM. In 2022, Veeva announced its

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decision not to renegotiate its contract with Salesforce and instead run CRM on the Vault platform. Management believed that Vault is now a mature product and there are many benefits from running all of its products, now CRM included, under its own platform. While Veeva has historically shown a proven track record of strong customer retention rate and strong customer penetration, we expect six of the top 20 biopharma customers to move to a competitor's product (mainly the offering of Salesforce and IQVIA's partnership in April 2025). Since CRM has continued to make up a decreasing portion of Veeva's overall business due to the fast-growing R&D cloud, this level of customer loss raises uncertainty on Veeva's ability to maintain its share in the development space.

Capital Allocation Keonhee Kim, Equity Analyst, 23 Mar 2026

We maintain Veeva's Exemplary Capital Allocation Rating. This rating reflects our forward-looking assessments of the firm's financial health, investment strategy and efficacy (both organic and inorganic), and shareholder distribution policy. Our Exemplary rating is a function of our sound balance sheet, exceptional investments, and appropriate shareholder distribution ratings.

We view Veeva's balance sheet as sound. Factors that are considered include unleveraged business risk and balance sheet risk. We view Veeva's business risk as low due to its sticky revenue stream. Veeva's contracts are on annual basis, and the company boasts above-100% revenue retention rate year over year. Also, we view its client base as economically non-cyclical. Life sciences companies, customers that drive over 92% of Veeva's revenue, are fairly resistant to recessionary periods because people need drugs regardless of economic conditions, which help their revenue stream to be relatively consistent. And they, on average, spend 3% of their overall market size on IT and software year over year. So we believe that they are more than likely to resubscribe to Veeva's products, which keeps Veeva's revenue cyclicity low. We also view Veeva's balance sheet risk as low since the company has no debt. It also has a great cash and equivalents balance and consistently generates strong cash flow from operations to cover any potential debt in the future.

We view Veeva's investments strategy as exceptional. Veeva's internal investments add depth to its product offerings and its customers have enjoyed these additions. Over the last five years, the company has consistently spent roughly 20% of its total sales on R&D to expand its suite of applications. And customers have adopted well to utilize these additions – the average number of products per user for commercial cloud and Vault over the last five years increased from below three to over four and about two to three, respectively. Veeva's external investments have historically been small complementary software tuck-ins. In 2019, the company made two small strategic acquisitions: the $427 million purchase of Crossix (privacy-safe patient data and analytics) and the $55 million purchase of Physicians World (live and virtual event logistics). These tuck-ins add to its Commercial Cloud offerings and are complementary to the mission-critical operations (CRM) involved in drug commercialization. Following the investment, Veeva retained a wide margin of excess returns on invested capital.

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We view Veeva's shareholder distribution as appropriate. The company does not pay a dividend, similar to Iqvia (biggest direct competitor in the biotech/pharma CRM space). This is also appropriate since Veeva is a fast-growing company and its liquidity allows it the ability to maintain its aggressive growth.

In February 2021, Veeva became the first public US company to reincorporate as a public benefit company. While it will remain a for-profit corporation, it is also now legally responsible to the interests of stakeholders beyond shareholders—employees, customers, and society as a whole. Functionally, company operations will remain unchanged and shareholders retain their protections (such as election of directors and proxy votes). The primary benefit to operating under this structure is a reduction of legal risk from shareholders; when making operating decisions considering other stakeholders that may not exclusively benefit investors, these actions are justified. The proxy vote received over 99% support from shareholders, suggesting that investors consider this a negligible risk factor and have a high degree of confidence in management to continue to be excellent stewards.

Analyst Notes Archive

Veeva: S&P 500 Inclusion Lifts Shares, and We See More Upside; Maintaining $287 Fair Value Estimate Keonhee Kim,Equity Analyst,1 May 2026

Veeva Systems will be added to the S&P 500 on May 7. The shares jumped 11% in early May 1 trading on the news.Why it matters: After underperforming the broader market index by roughly 35% so far in 2026, Veeva shares got a moment of relief on this news. Along with many software names, Veeva has gotten hammered this year as concerns about artificial intelligence's threat to its business model pushed investors away. Before the May 1 move, Veeva shares were down 30% year to date. While we appreciate the index inclusion, we don't think the news mitigates any AI overhang.The bottom line: We reiterate our $287 fair value estimate for wide-moat Veeva and believe the shares are significantly undervalued. We see AI more as a tool for Veeva to improve its offerings and the overall platform rather than an existential threat. Our stance on Veeva's high switching costs is unchanged. We see a disconnect between the market concern about Veeva's value proposition and the fundamental strength of the firm.Coming up: We expect Veeva to report fiscal 2027 first-quarter results in June. For full-year fiscal 2027, we model $3.6 billion in revenue, up 12.5% year over year, and $8.90 in adjusted earnings per share, up 9.5%.

Veeva Earnings: Strong Close to Fiscal 2026 and Impressive 2027 Guidance Tame Investor Fears Keonhee Kim,Equity Analyst,5 Mar 2026

In the fourth quarter, Veeva grew total revenue by 16% year-over-year and adjusted EPS climbed 20% to $2.06. Management provided initial revenue and EPS guidance for fiscal 2027 that was ahead of FactSet consensus. Shares traded up 7% in early trading on March 5. Why it matters: Software fears have crushed Veeva shares, with the stock down 36% over the last four months. A strong close to fiscal 2026

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Veeva Systems Inc Class A VEEV ★★★★★ 11 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
163.76 USD 10 Jun 2026	287.00 USD 28 Aug 2025 05:27, UTC	0.57	26.24 USD Bil 11 Jun 2026	Wide	Mid Blend	High	Exemplary

coupled with guidance for 2027 that exceeded expectations helped restore enthusiasm in the name. Complicated regulatory environments and new drug commercialization have long been life sciences inefficiencies that Veeva aimed to optimize. We believe the market's industrywide concerns to be misplaced and reemphasize the mission-critical nature of Veeva's business. The firm recently authorized a $2 billion share repurchase program and spent $180 million during the quarter on buybacks. We view the plan as a mark of confidence and appreciate the shareholder distributions given the stock trades at roughly a 27% discount to our estimate of fair value. The bottom line: While results came in slightly above our expectations, they do not give us enough reason to pivot from our $287 fair value estimate for wide-moat Veeva. We believe recent selloffs serve as a good buying opportunity and the firm's research and development engine remains strong. During fiscal 2026, R&D solutions subscription revenue grew 21%, and we model high-teens growth throughout our explicit forecast period. The clinical trial process is highly regulated and deals with hypersensitive, regulatory compliant datasets that artificial intelligence solutions cannot tackle without proper oversight or industry expertise. We believe Veeva is positioned well and remain interested to see the upcoming rollout of its own agentic tools.

Veeva: We Think Shares are Cheap After Recent Selloff on Growth and Customer Retention Concerns

Keonhee Kim,Equity Analyst,2 Feb 2026

After hitting a three-year high in October 2025, Veeva shares have sold off over the past three months and are trading near a 52-week low. Since reporting third-quarter earnings in late November, shares are down roughly 25%. Why it matters: Investors are losing confidence in Veeva after the firm announced the risk of losing six of the top 20 biopharmas during its customer relationship management, or CRM, conversion. This has raised questions around Veeva's execution and moat, but we think concerns are overblown and the market is underappreciating the firm's growth engine. While losing key customers is disappointing, we think investors are overemphasizing the impact of lost CRM contracts. CRM continues to account for a smaller share of the enterprise, down from a third of revenue in 2020 to 20% today. We think the headwinds from customer losses are limited, as they represent only a low-single-digit percentage of near-term earnings. Outside of the top 20, Vault CRM looks healthy, with additional wins and live customers adopting a wide set of applications. More importantly, we see ample runway across Vault's product portfolio to maintain double-digit sales and EPS growth over the next five years. The bottom line: We reiterate our $287 fair value estimate for wide-moat Veeva and see shares trading 30% below this level. We expect the firm to conclude fiscal 2026 on a strong note, with 15% and 20% revenue and EPS growth, respectively. Our valuation is underpinned by a low-teens 5-year compound annual growth rate for revenue and slightly faster growth for EPS, supported by recently announced buybacks. We think Veeva's wide moat from switching costs remains strongly intact and is underpinned by its high retention rate, deepening customer penetration, and the seamless integration of its applications.

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Veeva: New Share Repurchase Program Sends Shares Higher, but They Still Look Undervalued

Keonhee Kim,Equity Analyst,6 Jan 2026

Veeva announced a $2 billion share repurchase program on Jan 5. with a term of two years. Shares are up roughly 7% on the news. Why it matters: Veeva shares ended 2025 on a soft note, down about 18% from third-quarter earnings in late November, but the new buyback plan gave investors a little something to be excited about. This is the first formal share repurchase program that Veeva's board has authorized. We like this move on two fronts. One, Veeva shares look cheap, in our view, and we think timely buybacks are a good use of free cash flow and should bolster the already fast growing EPS for the near term. Two, this appears to be an astute move for a firm that generates strong free cash flow and maintains a clean balance sheet with substantial cash and short-term investments and no debt, yet has not previously returned capital directly to shareholders. We think this sets a positive precedent and could signal additional capital returns in the future. The bottom line: We maintain our $287 fair value estimate for wide-moat Veeva and think there is further upside to the name even after Jan. 6's rise. We slightly ticked up our fiscal 2027 and 2028 adjusted EPS guidance to account for lower share count after modeling in the repurchases, but this was immaterial to our valuation.

Veeva Earnings: Additional Customer Loss Spooks Investors, but Broad-Based Growth Remains Strong Keonhee Kim,Equity Analyst,21 Nov 2025

Veeva delivered 16% revenue growth and $2.04 adjusted EPS for its third fiscal quarter. Both came ahead of guidance by low- and midsingle digits, respectively, and full-year guidance was raised by a low single digit. Despite the raise and beat, shares dropped 6% after hours.Why it matters: We think the market movement reflects Veeva's expected 14 top 20 biopharma wins in Vault CRM. We knew three of the 20 had made a verbal commitment to a competitor as of last quarter, but it comes as a disappointing surprise that Veeva is likely losing three more of these large customers. While the concern around customer loss is understandable, CRM makes up about 20% of total revenue, and we think the headwinds from additional customer loss only account for a low single digit of revenue. Management said this wouldn't materially affect fiscal 2027 revenue and reaffirmed 2030 guidance. Outside of the top 20, Vault CRM looks healthy, with additional wins and live customers adopting a wide set of applications. Margin expansion continues to play out, with adjusted operating margin improving 150 basis points against last year. The bottom line: We keep our $287 fair value estimate for wide-moat Veeva. Our fiscal 2026 revenue and EPS estimates fall slightly ahead of guidance midpoints. The mild decline this week and the after-hours selloff put shares at a low-teens percentage below our valuation. With large customers moving to a competitor, the open question is their continued use of Veeva's non-CRM applications. Although we believe Veeva's switching costs remain robust, given the platform's scale and a history of high retention rate, we keep a close eye on the performance of other applications and engagement among the top 20 customers. Our favorable outlook is driven by the strength of

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Veeva's R&D solutions. We think this segment should drive roughly three-fourths of growth over the next five years, thanks to the large runway left across areas like development cloud and data cloud.

Veeva Earnings: Beat-and-Raise Quarter; More CRM Wins and Iqvia Resolution Demonstrate Solid Runway Keonhee Kim,Equity Analyst,28 Aug 2025

Veeva reported fiscal second-quarter results with 16.7% year-over-year revenue growth and 22.4% adjusted earnings per share growth. Both figures were a low-single-digit percentage ahead of guidance. Why it matters: Momentum across Veeva's portfolio looks healthy, driven by solid execution and new customer wins. Despite persistent macrouncertainty, we are impressed with Veeva's commercial prowess and solid operational progress. In commercial, three new top 20 biopharmas committed to Vault CRM during the quarter, making seven so far, and two more made a verbal commitment. Veeva also announced that its first AI agents are on track to launch by the end of the year in CRM, with development across other verticals to come in 2026. R&D solutions delivered another above-20% growth from customer wins in mature products, such as eTMF, but also in newer products like Training and LIMS, demonstrating Veeva's success in expanding its portfolio and cross-selling. The bottom line: We are raising our fair value estimate for wide-moat Veeva to $287 per share from $282 after modeling in raised guidance and the time value of money. Shares slipped slightly after-hours but still trade in 3-star territory. Full-year guidance for revenue and EPS were both raised by low single digits. Our estimate of $3.14 billion in revenue is on the high end of the range, and our forecast $7.80 adjusted EPS is slightly ahead of guidance. Big picture: Veeva announced earlier this month that it has resolved all legal disputes with Iqvia and entered into long-term clinical and commercial partnerships. We see this as a positive conclusion on two fronts. Adding the largest contract research organization to Veeva's clinical platform bolsters future revenue generation power and helps Veeva's presence in the space The integration of Iqvia data, the widest in the industry, to Veeva's platform unlocks potential for more capabilities from customers, further deepening Veeva's switching costs.

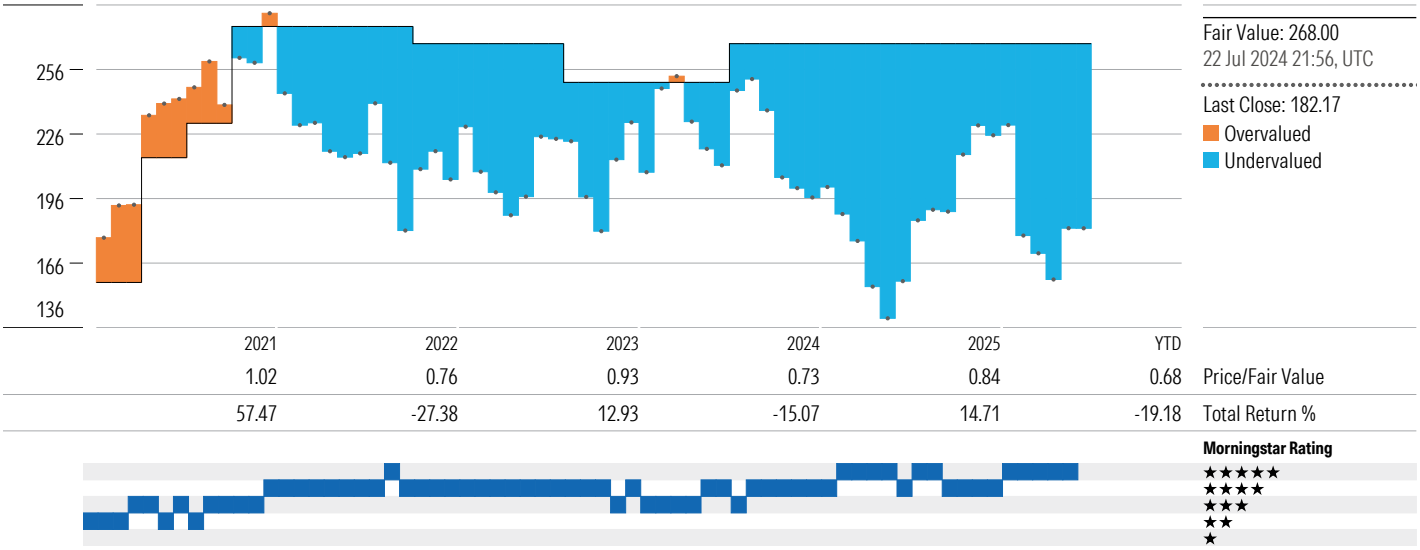
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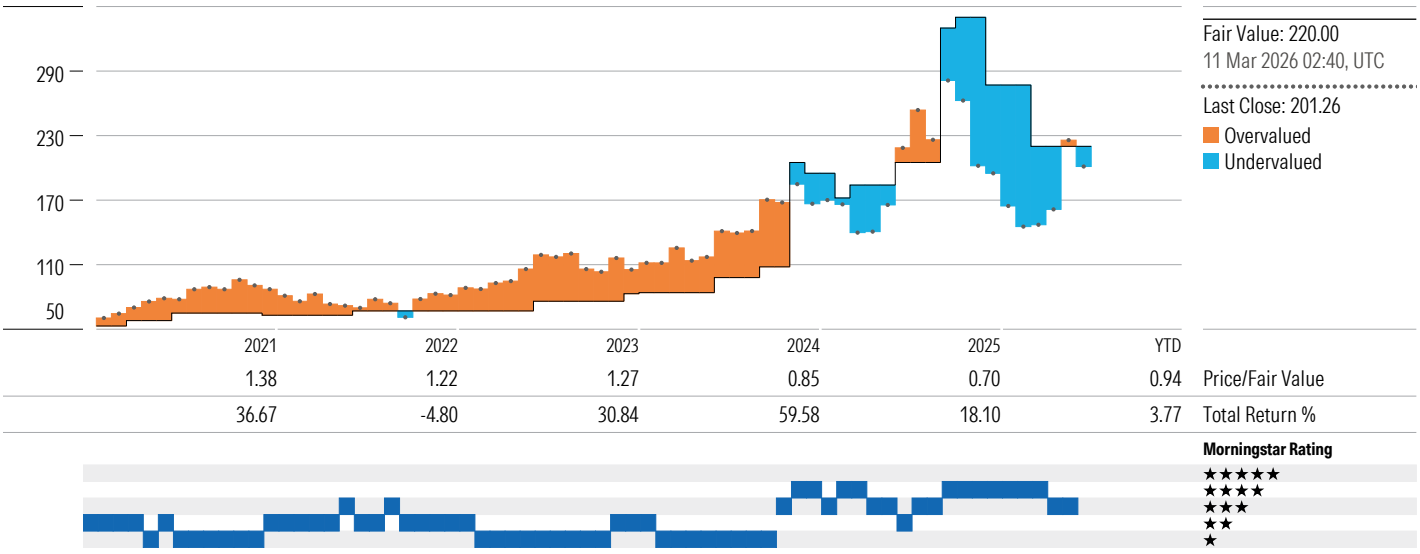
Competitors Price vs. Fair Value

IQVIA Holdings Inc IQV



Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 22 Jul 2024 21:56, UTC.

Oracle Corp ORCL



Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 11 Mar 2026 02:40, UTC.

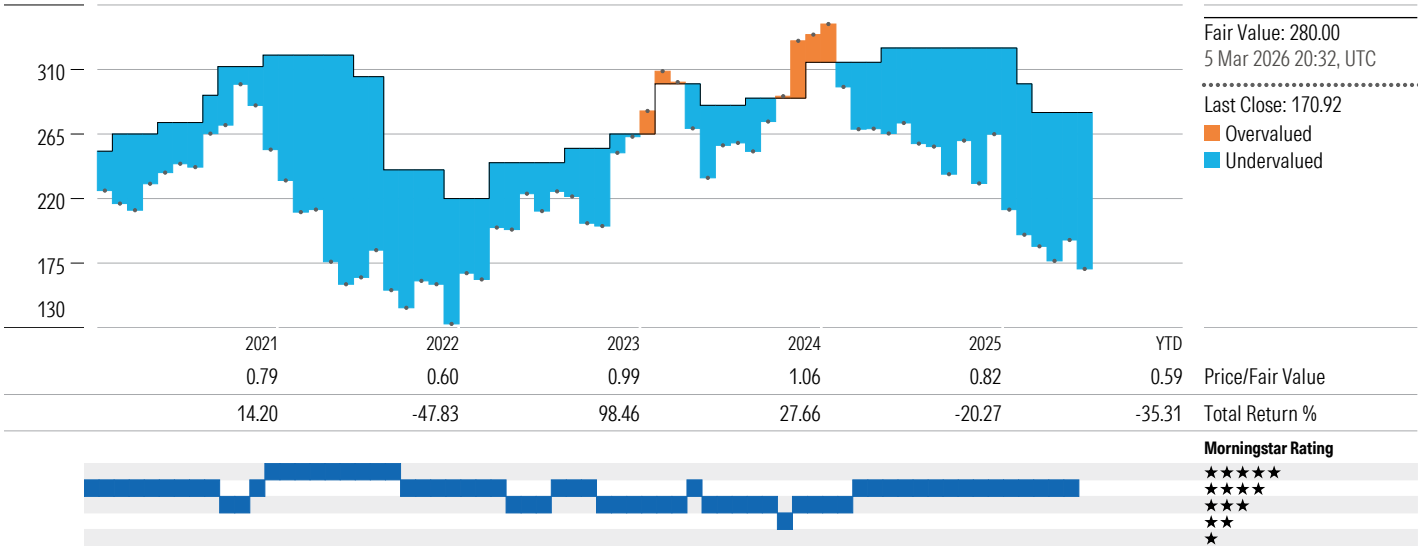
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Competitors Price vs. Fair Value

Salesforce Inc CRM



	2021	2022	2023	2024	2025	YTD	
	0.79	0.60	0.99	1.06	0.82	0.59	Price/Fair Value
	14.20	-47.83	98.46	27.66	-20.27	-35.31	Total Return %

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 5 Mar 2026 20:32, UTC.

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Morningstar Valuation Model Summary

Financials as of 03 Jun 2026

Fiscal Year, ends 31 Jan	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
Revenue (USD Mil)	2,364	2,747	3,195	3,641	4,106	4,633	5,239	5,934
Operating Income (USD Mil)	429	691	916	1,040	1,143	1,318	1,529	1,775
EBITDA (USD Mil)	621	959	1,232	1,366	1,466	1,652	1,902	2,195
Adjusted EBITDA (USD Mil)	881	1,193	1,469	1,637	1,813	2,052	2,331	2,660
Net Income (USD Mil)	526	714	909	1,065	1,144	1,296	1,495	1,728
Adjusted Net Income (USD Mil)	791	1,090	1,352	1,503	1,637	1,837	2,087	2,380
Free Cash Flow To The Firm (USD Mil)	704	809	665	815	1,006	1,142	1,252	1,448
Weighted Average Diluted Shares Outstanding (Mil)	163	165	167	166	163	163	163	163
Earnings Per Share (Diluted) (USD)	3.22	4.32	5.44	6.43	7.04	7.96	9.18	10.61
Adjusted Earnings Per Share (Diluted) (USD)	4.84	6.60	8.10	9.07	10.07	11.29	12.81	14.60
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 03 Jun 2026

	3 Year Avg	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031	5 Year Avg
Operating Margin %	31.9	18.2	25.2	28.7	28.6	27.8	28.4	29.2	29.9	35.7
EBITDA Margin %	—	26.3	34.9	38.6	37.5	35.7	35.7	36.3	37.0	—
Adjusted EBITDA Margin %	—	37.3	43.4	46.0	45.0	44.2	44.3	44.5	44.8	44.5
Net Margin %	25.5	22.2	26.0	28.4	29.3	27.9	28.0	28.5	29.1	28.6
Adjusted Net Margin %	38.5	33.5	39.7	42.3	41.3	39.9	39.7	39.8	40.1	40.2
Free Cash Flow To The Firm Margin %	26.7	29.8	29.5	20.8	22.4	24.5	24.7	23.9	24.4	24.0

Growth & Ratios as of 03 Jun 2026

	3 Year CAGR	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031	5 Year CAGR
Revenue Growth %	14.0	9.7	16.2	16.3	13.9	12.8	12.9	13.1	13.3	13.2
Operating Income Growth %	25.9	-6.5	61.1	32.5	13.5	9.9	15.3	16.0	16.1	14.1
EBITDA Growth %	32.8	15.3	54.5	28.5	10.9	7.3	12.7	15.2	15.4	12.3
Adjusted EBITDA Growth %	20.3	4.3	35.5	23.1	11.5	10.7	13.2	13.6	14.1	12.6
Earnings Per Share Growth %	21.9	7.1	34.4	25.9	18.1	9.5	13.1	15.3	15.5	14.3
Adjusted Earnings Per Share Growth %	21.9	13.0	36.4	22.7	12.0	11.0	12.2	13.5	14.0	14.3

Valuation as of 03 Jun 2026

	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
Price/Earning	42.9	35.3	25.2	17.8	16.0	14.3	12.6	11.1
Price/Sales	14.2	13.8	10.5	7.2	6.4	5.7	5.0	4.4
Price/Book	7.3	6.6	4.7	3.4	3.3	2.8	2.4	2.1
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	33.6	27.6	18.4	11.6	10.5	9.3	8.2	7.2
EV/EBIT	68.9	47.6	29.4	18.3	16.7	14.4	12.5	10.7
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 03 Jun 2026

Fiscal Year, ends 31 Jan	Actual 2024	2025	2026	Forecast 2027	2028	2029	2030	2031
ROA %	8.9	9.7	10.1	10.8	11.1	10.9	10.8	10.8
ROE %	11.3	12.2	12.6	13.5	14.3	13.8	13.7	13.6
ROIC %	20.2	23.2	24.9	25.5	26.5	28.1	29.7	31.5

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Debt/Capital %	0.2	0.2	0.3	0.0	0.0	0.0	0.0	0.0
Assets/Equity	1.3	1.3	1.2	1.3	1.3	1.3	1.3	1.3
Net Debt/EBITDA	-6.4	-5.3	-5.2	-1.0	-0.6	-0.8	-1.0	-1.2
Total Debt/EBITDA	0.1	0.1	0.1	0.0	0.0	0.0	0.0	0.0
EBITDA/ Net Interest Expense	—	—	—	—	—	—	—	—

Forecast Revisions as of 4 Jun 2026	2027		2028		2029	
Prior data as of 23 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	287.00	287.25	—	—	—	—
Revenue (USD Mil)	3,641	3,594	4,106	4,053	4,633	4,574
Operating Income (USD Mil)	1,040	1,031	1,143	1,142	1,318	1,317
EBITDA (USD Mil)	1,637	1,621	1,813	1,803	2,052	2,041
Net Income (USD Mil)	1,503	1,487	1,637	1,627	1,837	1,826
Earnings Per Share (Diluted) (USD)	6.43	6.30	7.04	6.93	7.96	7.84
Adjusted Earnings Per Share (Diluted) (USD)	9.07	8.88	10.07	9.89	11.29	11.09
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 03 Jun 2026

Cost of Equity %	7.4
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	7.3
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	10.0
Stage II Investment Rate %	33.3
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 03 Jun 2026

	USD Mil
Present Value Stage I	4,118
Present Value Stage II	14,883
Present Value Stage III	26,427
Total Firm Value	**45,428**
Cash and Equivalents	1,421
Debt	0
Other Adjustments	0
Equity Value	**46,849**
Projected Diluted Shares	166
Fair Value per Share (USD)	**287.00**

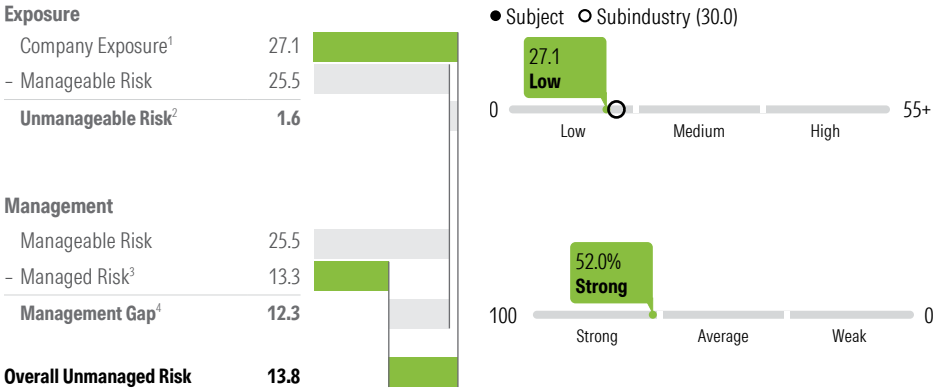
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Veeva Systems Inc Class A VEEV ★★★★★ 11 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
163.76 USD 10 Jun 2026	287.00 USD 28 Aug 2025 05:27, UTC	0.57	26.24 USD Bil 11 Jun 2026	Wide	Mid Blend	High	Exemplary

ESG Risk Rating Breakdown



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Jun 06, 2026. Highest Controversy Level is as of Jun 08, 2026. Sustainalytics Subindustry: Health Care IT Services. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 52.0% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 06 Jun 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Veeva Systems Inc	27.1 | Low	0	55+	52.0 | Strong	100	0	13.8 | Low	0	40+
Salesforce Inc	34.2 | Low	0	55+	56.1 | Strong	100	0	16.3 | Low	0	40+
Oracle Corp	35.3 | Medium	0	55+	59.4 | Strong	100	0	15.8 | Low	0	40+
IQVIA Holdings Inc	30.2 | Low	0	55+	45.3 | Average	100	0	17.2 | Low	0	40+
AvidXchange Holdings Inc	31.2 | Low	0	55+	26.7 | Average	100	0	23.5 | Medium	0	40+

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Appendix

Historical Morningstar Rating

Veeva Systems Inc Class A VEEV 10 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★

IQVIA Holdings Inc IQV 10 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Oracle Corp ORCL 9 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★	★	★	★	★	★★	★	★★	★★	★★	★★

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Salesforce Inc CRM 11 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

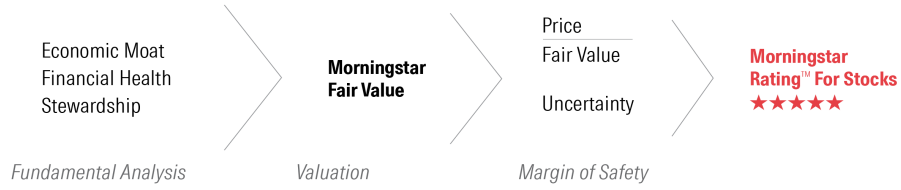
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

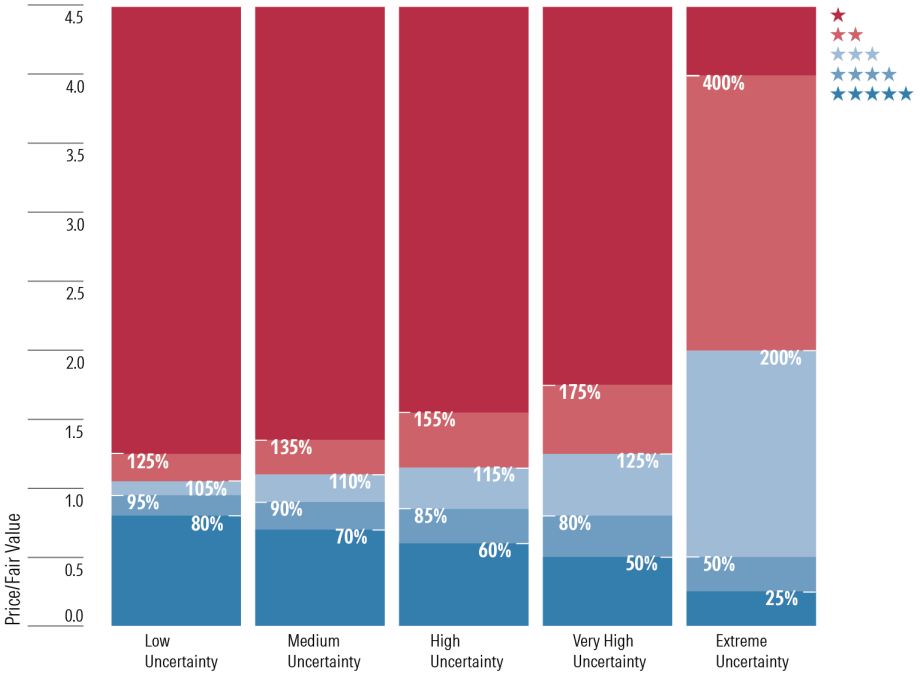
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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